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Illustration 10

Arun is a trader dealing in automobiles. For the following transactions, pass journal entries for the month of January, 2018

Jan.		`
1	Commenced business with cash	90,000
2	Purchased goods from X and Co. on credit	40,000
3	Accepted bill drawn by X and Co.	20,000
4	Sold goods to D and Co. on credit	10,000
5	Paid by cash the bill drawn by X and Co.	
6	Received cheque from D and Co. in full settlement and deposited the same in bank	9,000
7	Commission received in cash	5,000
8	Goods costing ` 40,000 was sold and cash received	50,000
9	Salaries paid in cash	4,000
10	Building purchased from Kumar and Co. for ` 1,00,000 and an advance of ` 20,000 is given in cash	

Solution

In the books of Arun

Journal entries

Date	Particulars	L.F.	Debit `	Credit `
2018 Jan. 1	Cash A/c Dr. To Arun's capital A/c (Arun commenced business with cash)		90,000	90,000
2	Purchases A/c Dr. To X and Co. A/c (Credit purchases made)		40,000	40,000
3	X and Co. A/c Dr. To Bills payable A/c (Bill drawn by X and Co. accepted)		20,000	20,000
4	D and Co. A/c Dr. To Sales A/c (Goods sold on credit)		10,000	10,000